

DRAFTKINGS INC.

The House Always Wins?

Profitability Inflection Meets Prediction-Market Disruption

Equity Research Note · Consumer Discretionary — Online Gaming · September 19, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$36.00	\$21.75 Sep 19, 2026	+65%	High Beta 1.68

Snapshot			
Market cap	\$10.9 bn	Shares out.	~496.5 mn
Enterprise value	~\$11.9 bn	52-week range	\$20.46 – \$44.22
Net debt	~\$1.0 bn	YTD / 1-yr return	-36.9% / -49.9%
2026E revenue (guide)	\$6.5 – \$6.9 bn	2026E adj. EBITDA (guide)	\$700 – \$900 mn
FY2025 revenue	\$6.06 bn (+27%)	FY2025 adj. EBITDA	\$620 mn (10.2%)
Next catalyst	Q3'26 earnings, ~Nov 5	Analyst consensus	Moderate Buy, PT ~\$34.4

This note is an independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from DraftKings' SEC filings, earnings releases, and reputable financial press as of September 19, 2026. Projections are the author's estimates.

1 Executive Summary

DraftKings (DKNG) is the #2 online sportsbook and iGaming operator in the United States, trading at **\$21.75** — **within 6% of its 52-week low** and down ~50% over the past year. The selloff reflects a genuine strategic inflection point: the company's core sportsbook has just proven it can print money (first-ever GAAP profit in 2025, adjusted EBITDA tripling to \$620 mn), while the market is repricing the business for a new competitive threat — federally regulated prediction markets (Kalshi, Polymarket) operating nationwide in states where DraftKings' sportsbook cannot legally exist.

We rate DKNG a **BUY** with a **\$36.00** 12-month price target (~65% upside). Our thesis: the profitability inflection is structural, not cyclical; the prediction-market threat is real but DraftKings has responded with its own federally regulated Predictions platform that is scaling explosively (\$11 bn annualized volume by July 2026, up ~5x from April) and carries structurally higher margins; and the current price embeds an overly punitive bear case. That said, this is a **high-risk** name: quarterly earnings are hostage to sports outcomes, courts will decide the prediction-market endgame, and state tax pressure is a slow bleed.

Investment thesis — why own it

The land-grab is over; the harvest has begun. With online sports betting legal in 38 states plus D.C. and DraftKings live across ~53% of the U.S. population, the era of scorched-earth customer acquisition is ending. Cohort economics are visibly improving: Q4'25 average revenue per payer surged 43% to \$139 on better hold and parlay mix, and management is guiding to a long-term adjusted EBITDA margin of ≥30% (vs. 10.2% in 2025).

Profitability is proven, not promised. FY2025 delivered \$6.06 bn revenue (+27%), \$620 mn adjusted EBITDA (+242%), and the company's first full-year GAAP profit (\$3.7 mn). Q1'26 added a second consecutive quarter of positive net income. The business model — high fixed-cost leverage on a growing handle base — is now demonstrably working.

Predictions is a free call option the market prices as a liability. DraftKings Predictions (launched Dec 2025, built on the acquired CFTC-licensed Railbird exchange plus an in-house market-making desk) reaches nearly 100% of Americans — double the sportsbook footprint. Management cites 10–30 points of gross-margin advantage over the sportsbook (no state gaming tax, lower promo intensity) and targets "hundreds of millions" in annual revenue within a few years. 2026 guidance *excludes* Predictions revenue while including its costs — i.e., guidance is understated by design.

Expectations have been reset to the floor. February's guidance (\$6.7 bn revenue midpoint vs. \$7.3 bn consensus) plus Q2's hold-driven miss have crushed the stock 37% YTD. Street targets cluster at \$28–\$40 with consensus ~\$34.4; at \$21.75 the bar for positive surprise is low heading into the seasonally strong NFL-driven second half.

Capital allocation has turned shareholder-friendly. ~22.7 mn shares repurchased for ~\$773 mn through mid-2026 (16 mn in FY2025 alone), and a 2026 refinancing (\$700 mn Term B + \$750 mn revolver) pushed maturities out and funded flexibility.

Key risks — why the market is scared

Prediction-market cannibalization / adverse court rulings. Kalshi/Polymarket moved an estimated \$44–63 bn in 2025 volume and now offer sports event contracts — including parlays — nationwide under CFTC licenses. If courts uphold federal preemption of state gambling law, DraftKings' state-by-state moat is permanently impaired; DraftKings itself faces lawsuits over its own Predictions platform.

Hold volatility makes quarterly earnings a coin flip. Q2'26 revenue fell 5% despite record \$13.1 bn handle because customers won (~\$80 mn headwind from a Knicks title and bettor-friendly World Cup). Q3 hold was tracking ~7% vs. ~11.8% structural in September per Morgan Stanley. You are underwriting variance, not just growth.

State tax creep. Illinois added a per-wager tax; New Jersey and Louisiana raised digital rates; Kansas headlines keep coming. Management's guidance assumes tax rates stay flat — a fragile assumption.

Execution risk on the pivot. 2–15% headcount rightsizing, a Super App migration, and a prediction-market build-out are happening simultaneously. Costs are in guidance; revenues are not.

2 Company Overview — What DraftKings Is and What It Is Doing

DraftKings Inc., headquartered in Boston, MA (~5,500 employees), is a digital sports entertainment and gaming company. Founded in 2012 as a daily fantasy sports (DFS) operator, it went public in April 2020 via SPAC merger (Diamond Eagle), acquired its core technology stack through **SBTech** (2020), expanded into iGaming with **Golden Nugget Online Gaming** (2022), and added lottery distribution via **Jackpocket** (2024, ~\$750 mn). The strategic arc is consistent: own the customer relationship across every legal form of U.S. online wagering, on proprietary technology.

What the company is doing right now — the 2026 strategic pivot

Super App consolidation. In 2026 DraftKings launched DraftKings Sports & Casino nationwide, merging Sportsbook, Predictions, Casino (iGaming) and Lottery into one app with a single account and wallet, access tailored by jurisdiction. Phase one shipped ahead of March Madness. The goal is classic cross-sell: one acquired customer monetized across four verticals.

Prediction-market build-out. DraftKings Predictions (Dec 2025) is the company's answer to Kalshi/Polymarket: federally regulated event contracts on sports (and eventually non-sports) available in all 50 states. The 2026 roadmap added the Railbird exchange acquisition and a proprietary market-making division to internalize trading economics. Management calls this "the most exciting growth opportunity since PASPA" (2018).

Efficiency mandate. With the land-grab phase largely complete, management is rightsizing headcount by an estimated 2–15%, deploying AI across trading, marketing and support, and harvesting operating leverage — 2026 guidance implies ~11% revenue growth but ~30% adjusted EBITDA growth at the midpoint.

Geographic expansion at the margin. Missouri (Dec 2025) was "one of the best state openings ever"; Alberta, Canada launched in 2026, taking Canadian coverage to ~51% of the population. The next leg is iGaming legalization (only 5 states, ~11% of Americans) — the highest-margin white space in U.S. gaming.

At its March 2026 Investor Day, management framed the destination: a **\$55–80 bn industry gross-revenue opportunity by 2030** (continued legalization + existing-state growth + Predictions), with DraftKings targeting a long-term adjusted EBITDA margin of **at least 30%**. The message: DraftKings intends to be a consolidator and margin-expander, not just a growth story.

3 Financial Analysis

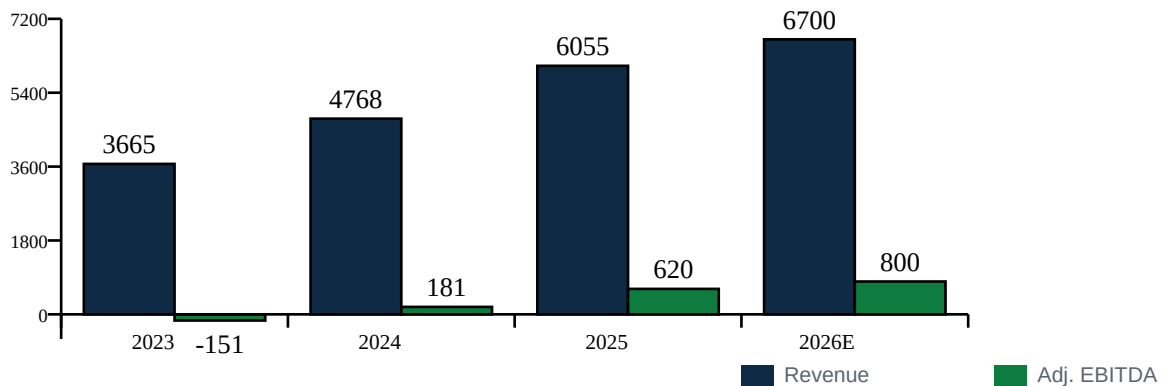
The P&L tells a clean three-act story: hyper-growth at any cost (2020–23), the turn to operating leverage (2024), and the profitability inflection (2025–26E).

\$ mn	2023	2024	2025	2026E*
Revenue	3,665	4,768	6,055	6,700
YoY growth	+53%	+30%	+27%	+11%
Cost of revenue	(2,411)	(2,985)	(3,600)	—
Gross margin	~34%	~37%	~41%	—
Sales & marketing	(1,184)	(1,279)	(1,400)	—

\$ mn	2023	2024	2025	2026E*
Net income (GAAP)	(802)	(507)	3.7	—
Adjusted EBITDA	(151)	181	620	800
Adj. EBITDA margin	n.m.	3.8%	10.2%	11.9%
Adj. diluted EPS	(\$0.41)	\$0.24	\$0.66	~\$0.49

*2026E at guidance midpoints; 2023 figures per 10-K. Sources: DraftKings 10-K (FY2025), Q1'26/Q2'26 shareholder letters.

Revenue vs. Adjusted EBITDA (\$ mn)



Quarterly pulse — the last four quarters

	Q3'25	Q4'25	Q1'26	Q2'26
Revenue (\$ mn)	1,144	1,989	1,646	1,443
Net income (\$ mn)	(257)	136	21	(68)
Adj. EBITDA (\$ mn)	—	343	~168	115
Sports handle (\$ bn)	—	16.8	—	13.1
Monthly unique payers (mn)	—	4.8	4.2	3.6
Avg. revenue / payer	—	\$139	\$131	\$132

Q4'25 was the blowout (revenue +43%, EBITDA margin 17.3%, net revenue margin 8.0% on handle). Q1'26 grew revenue ~17% with a second straight profitable quarter. Q2'26 is the seasonal trough (baseball-only quarter) and was hit by a perfect storm: customer-friendly outcomes (~\$80 mn drag from the Knicks' NBA title and World Cup results), +10% planned acquisition spend into the World Cup/NBA Finals, and a step-up in Predictions investment. Handle still grew 15% — demand was healthy; hold was not.

Unit economics — the flywheel is working

Handle → hold → margin. Sportsbook net revenue margin hit 8.0% in Q4'25 (vs. 5.5% a year earlier) and management's structural hold target is ~10%+. The engine is parlay mix: NBA parlay handle mix rose 400+ bps YoY in Q2'26. Parlays carry ~2x the hold of single bets, and DraftKings' same-game-parlay product is the industry benchmark.

Promo normalization. External acquisition promos are declining as a share of handle as states mature; Q2's promo uptick was deliberate (World Cup, Predictions launch), not structural.

Cohort LTV. Per management, every annual cohort since 2022 has shown predictable, improving economics — customers acquired in mature states now generate contribution margins well above acquisition cost within year one.

iGaming is the steadier compounder. Q2 iGaming revenue grew 7.5% to \$462 mn with none of the sportsbook's outcome volatility. Only 5 states are live (~11% of Americans) — every new iGaming state

is high-margin incremental revenue on the same fixed-cost base.

Balance sheet & cash flow

The balance sheet is levered but manageable, and 2026's refinancing extended the runway:

Liquidity: \$999 mn cash (Mar 31, 2026) plus a \$750 mn undrawn revolver (expanded 2026).

Debt: \$1.265 bn zero-coupon convertible notes due March 2028 (conversion price \$94.85; capped-call hedge to \$135.50 limits dilution) and a \$700 mn Term B loan (refinanced 2026 from \$576 mn). Total funded debt ~\$1.96 bn → net debt ~\$1.0 bn, or ~1.2x 2026E adjusted EBITDA.

Buyback: ~22.7 mn shares repurchased for ~\$773 mn through June 2026 (16 mn shares in FY2025) — ~4.5% of shares outstanding retired, a credible signal given the stock's 50% drawdown.

Cash flow: the business is now self-funding; capex is light (~\$50–70 mn/yr, mostly tech), and working capital is structurally negative (customer funds held on balance sheet).

Watch item: the March 2028 converts (\$1.265 bn) must be refinanced or repaid within 18 months. At current prices conversion is out of the money, so expect a refinancing — the 2026 Term B deal shows management can access secured markets, but rising secured debt ahead of 2028 bears monitoring.

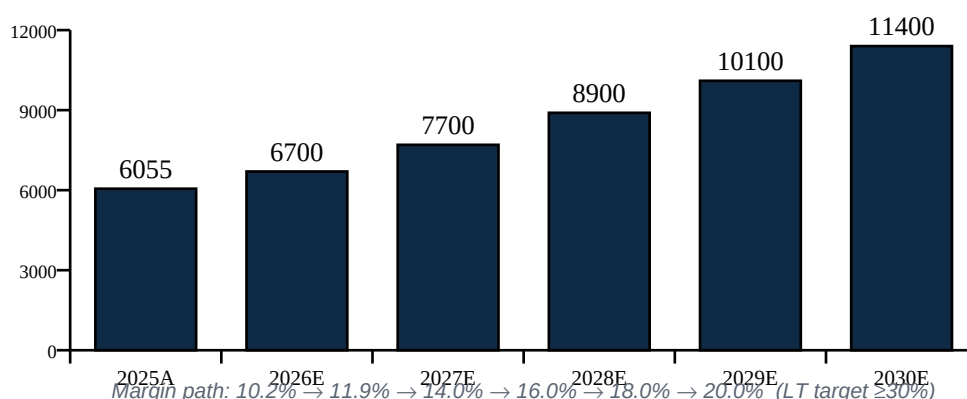
4 Growth Outlook & Forward Projections

We model revenue compounding at ~14% (2025–30) with margins expanding from 10% to 20% as states mature, iGaming scales, and Predictions contributes. Our 2026–27 estimates sit near guidance/consensus; the out-year ramp reflects the 30%+ steady-state margin framework from Investor Day.

\$ mn	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	6,055	6,700	7,700	8,900	10,100	11,400
Growth	27%	11%	15%	16%	13%	13%
Adj. EBITDA	620	800	1,080	1,420	1,820	2,280
Margin	10.2%	11.9%	14.0%	16.0%	18.0%	20.0%
Free cash flow*	~480	680	950	1,250	1,550	1,900

*FCF ≈ adj. EBITDA less capex, cash taxes and working-capital investment; author estimates. Sources: company guidance (2026E), author model thereafter.

Projected Revenue & Adj. EBITDA Margin (2025A–2030E)



Growth bridges (2026–2030)

Existing-state maturation (~40% of growth). Hold expansion via parlay mix +400 bps/yr, promo normalization, and ARPPU growth. This is the highest-confidence, highest-margin growth in the model.

iGaming legalization (~25%). Only ~11% of Americans can play legal online casino today. Each new large state (New York, Illinois debates recur annually) adds high-margin revenue with minimal incremental marketing — casino players are acquired through the existing sportsbook funnel.

Predictions (~20%). From zero to "hundreds of millions" in annual revenue per management; our model assumes \$250–400 mn by 2028 at 60%+ gross margins (no state gaming tax). Available to ~100% of the U.S. population — it is DraftKings' first truly national product.

New sportsbook states + Canada (~15%). Missouri ramping, Alberta ramping, and line-of-sight launches (California/Texas/Florida remain the long-dated prizes but are not in our numbers).

5 Moat Assessment

DraftKings' moat is **narrow but real**, built on scale and regulatory position rather than technology alone. We score each pillar:

Moat pillar	Strength	Evidence
Scale / liquidity	Strong	35% handle share; \$13 bn quarterly handle funds tighter pricing, bigger parlay menus, and marketing efficiency smaller books cannot match.
Brand & distribution	Strong	Top-2 unaided awareness in U.S. betting; 10.9 mn unique customers in last 12 months; Super App deepens the funnel.
Regulatory licenses	Moderate	27-state + DC + PR footprint is a sunk-cost barrier — but CFTC-licensed prediction markets can bypass it entirely.
Data & trading tech	Moderate	SBTech stack + 14 years of pricing data improve hold; parlay pricing is the crown jewel. Replicable over time by FanDuel/bet365.
Switching costs	Weak	Multi-homing is rampant: bettors hold 3+ apps and line-shop. Retention rests on product and promos, not lock-in.
Network effects	Weak–Moderate	Limited direct network effects; indirect via liquidity for Predictions market-making (early).

Net: a **scale-and-brand moat with a regulatory overhang**. The moat widens as states mature (marketing leverage, hold expansion) but narrows if prediction markets achieve permanent federal preemption — the single most important variable in this thesis.

6 Competitive Landscape

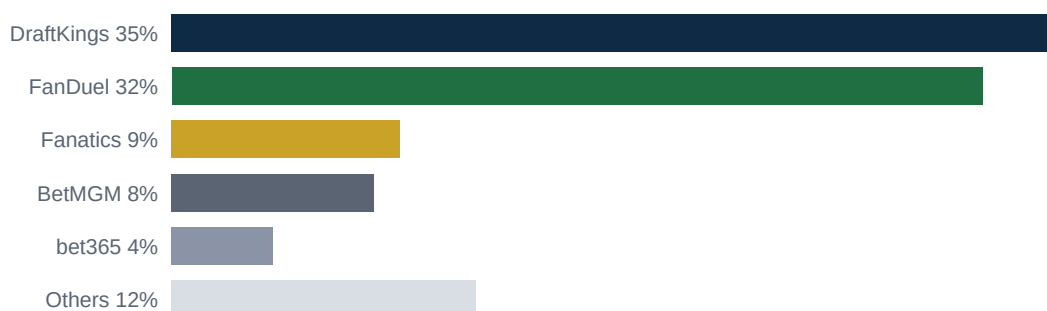
U.S. online betting is a **duopoly with a lengthening tail**: FanDuel and DraftKings control ~78% of gross gaming revenue. The tail, however, is getting sharper — Fanatics and bet365 are gaining handle share, and prediction markets attack from outside the regulatory perimeter entirely.

Operator	U.S. OSB share*	iGaming share	Threat assessment
FanDuel (Flutter)	~44% GGR	~29%	The benchmark competitor: larger share, first to sustained U.S. profitability, global trading tech via Flutter. DraftKings is closing the handle gap (35% vs 32% in Q1'26).
DraftKings	~34% GGR	~24%	Best-in-class parlay product and promos engine; #1-rated app. Monetization (ARPPU +43% in Q4'25) is the catch-up lever.
Fanatics Sportsbook	~9% handle	small	The riser: passed BetMGM in H2'25; 11.7% of NY handle in May'26. Deep-pocketed, merchandise-data flywheel, aggressive promos.
BetMGM	~8% handle	mid-teens	Stuck in third: omnichannel (MGM resorts) helps iGaming, but OSB share is flat-to-down.

Operator	U.S. OSB share*	iGaming share	Threat assessment
bet365	~4% (11 states)	—	Quietly dangerous: 7% share in states where live; best-in-class in-play product and pricing discipline from the UK.
Caesars / theScore / ESPN exit	declining	—	Caesars' May'26 NY hold was the worst among majors; Penn killed ESPN Bet (Dec'25), laid off 75 in interactive.
Kalshi / Polymarket	n/a – federal	n/a	The disruptor. ~\$44–63 bn 2025 volume; sports parlays with better effective odds; legal in CA/TX/FL where DKNG can't operate. Courts decide the endgame.

*Handle share per SportsBusiness Journal (Q1'26, 15 trackable states): DKNG 35%, FanDuel 32%. GGR share per industry trackers. Sources: SBJ 5/29/26, Flutter H1'26 report, state regulator filings.

U.S. Online Sportsbook Handle Share (Q1 2026, trackable states)



Competitive dynamics to watch:

Handle vs. revenue share. DraftKings leads in *handle* (35% vs. 32%) but trails in *revenue* (~34% vs. ~44%) — the gap is hold and mix. Closing it (parlays, pricing) is the single biggest earnings lever management controls.

Fanatics is the real #3 now, not BetMGM — and bet365's per-state efficiency suggests the tail won't stay docile.

Prediction markets compete on price: Kalshi's parlay payouts have been quoted ~20%+ richer than sportsbooks' (\$1,043 vs. \$850 on a sample ticket). If that persists, price-sensitive volume migrates — DraftKings' answer is to *be* a prediction market.

7 Product Evaluation

Product	Scale / status	Economics	Verdict
Online Sportsbook	\$13.1 bn Q2 handle (+15%); 27 states + DC + PR	Structural hold ~10%+; parlay mix +400 bps; promo normalizing	A–. Best-in-class SGP product; hold volatility is the cost of the model.
iGaming (Casino)	\$462 mn Q2 rev (+7.5%); 5 states	Highest margins; no outcome volatility; cross-sold from sportsbook	A. The steadiest compounder; legalization is pure upside.
DraftKings Predictions	\$11 bn annualized vol. (Jul'26); national	10–30 pts gross-margin edge; no state tax; lower promo	B+ (option value). Hypergrowth, unproven monetization; binary legal risk.
Daily Fantasy Sports	Legacy; all 50 states (paid + free)	Low growth; valuable acquisition funnel & brand	B. Mature cash contributor; feeds the ecosystem.
Jackpocket (lottery courier)	Acquired 2024; exited TX in 2025	Thin margins; MUP drag on exit	C+. Strategic (lottery cross-sell) but sub-scale; TX exit was prudent.

Product	Scale / status	Economics	Verdict
Super App (Sports & Casino)	Nationwide 2026; single wallet	Cross-sell → ARPPU; lower blended CAC	B+ . Right strategy; migration execution risk in 2026.

Product thesis in one line: the sportsbook acquires, iGaming monetizes, Predictions expands the addressable market, and the Super App binds them — a coherent ecosystem, not a collection of bets.

8 Valuation

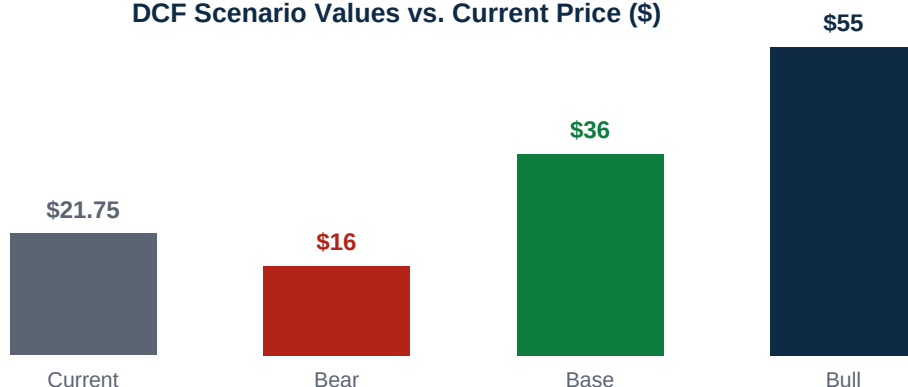
We triangulate fair value with (a) a scenario-weighted DCF — the primary method, given the margin-expansion story — and (b) trading multiples as a cross-check.

8.1 Discounted cash flow — three scenarios

Key assumptions: ~496.5 mn diluted shares; net debt ~\$1.0 bn (converts \$1.265 bn + Term B \$0.7 bn – cash ~\$1.0 bn); FCF ≈ adj. EBITDA less capex, cash taxes and WC. WACC reflects beta 1.68 and a levered consumer-discretionary profile.

Scenario	Revenue CAGR '25-'30	2030 adj. EBITDA margin	WACC / g	Implied EV (\$ bn)	Value / share
Bear — prediction markets win share; tax hikes; hold disappoints	~7%	13%	12% / 2.0%	9.1	\$16
Base — maturation + iGaming + Predictions ramp; LT margin → 25%+	~13.5%	20%	11% / 3.0%	19.0	\$36
Bull — Predictions breakout; iGaming wave; 30% LT margins	~17%	25%	10% / 3.5%	28.0	\$55

DCF Scenario Values vs. Current Price (\$)



Scenario weighting: Base 50% × \$36 + Bull 25% × \$55 + Bear 25% × \$16 = **\$35.75** → **\$36.00 target** (rounded). The bear case is deliberately punitive: it assumes prediction markets permanently impair the sportsbook moat and state taxes grind 2–3 points off margins.

8.2 Multiples cross-check

Multiple	DKNG today	Implied by \$36 target	Context
EV / 2026E revenue	~1.75×	~2.8×	Susquehanna's framework (5.1× group sales, 30% DKNG discount → ~3.6×) suggests the target multiple is conservative.
EV / 2026E adj. EBITDA	~14.7×	~23.5×	Full price for 2026 — but on 2028E EBITDA (~\$1.4 bn) the target is ~13×, in line with scaled consumer platforms.
P / E (2027E adj. EPS ~\$1.3)	~17×	~28×	Growth-adjusted: PEG <1.0× on 30%+ EPS CAGR '26-'30.

The target prices in the margin expansion the model earns by 2028–30 — i.e., you are paying for execution, not for today's earnings. That is appropriate for a business at an inflection point but demands the risk rating stay High.

8.3 What the Street thinks

Consensus is **Moderate Buy** with an average target of **~\$34.4** (30 Buys, 8 Holds, 2 Sells per MarketBeat). Recent prints: Wolfe Research initiated at Outperform/\$40 (Sep'26), UBS \$48 Buy, Citizens \$37, Morgan Stanley \$36, JPM \$33, Barclays \$34, Guggenheim \$33, Bernstein \$29, Truist \$29, MoffettNathanson \$27 Neutral (prediction-market concerns). Our \$36 sits modestly above consensus — we are more constructive on Predictions optionality and the 2027–28 margin ramp than the median analyst.

9 Risks, Catalysts & What to Watch

Risk / catalyst	Direction	Timing	Why it matters
Q3'26 earnings (NFL hold normalization)	Catalyst ↑	~Nov 5	Street expects \$1.42 bn rev / –\$0.16 EPS; a clean hold quarter re-rates the H2 story.
Prediction-market court rulings	Binary	Ongoing	Federal preemption upheld → DKNG's moat impaired but its Predictions asset validated. Adverse → threat removed.
State tax legislation	Risk ↓	2027 sessions	Each 1 pt of blended tax ≈ ~\$65–70 mn of EBITDA at current scale.
iGaming legalization bills	Catalyst ↑	2026–27	One large state (e.g., NY/IL) could add \$300 mn+ high-margin revenue.
Predictions monetization disclosure	Catalyst ↑	2027	First revenue/margin disclosure turns the call option into a valued asset.
2028 converts refinancing	Risk ↓	By Mar'28	\$1.265 bn maturity; expect refi — terms will signal credit-market confidence.
Sport-outcome variance	Noise	Quarterly	Structural hold ~10%+; quarterly realized hold of 7–12% is normal. Size positions accordingly.

10 Recommendation

We initiate/maintain a **BUY** rating on DraftKings with a **\$36.00** 12-month price target, implying ~65% upside from \$21.75. DraftKings has crossed the profitability Rubicon — \$620 mn of adjusted EBITDA and a first GAAP profit in 2025 — yet trades like a broken growth story, near 52-week lows, at ~1.75× 2026E revenue. The market is pricing the prediction-market threat as a near-certainty and the core business at trough multiples; we see a mispricing on both counts: the core flywheel (parlay-led hold expansion, promo normalization, iGaming) supports mid-teens growth with margins marching toward 20% by 2030, while Predictions offers asymmetric upside to a national footprint at structurally superior margins.

Position sizing guidance: this is a **High-risk BUY**. Quarterly hold variance (Q2'26: –5% revenue on +15% handle) and binary legal outcomes argue for a starter position with room to add on court clarity or a hold-normalized quarter — not a full position into NFL-season variance. Key invalidation: sustained GGR share loss to prediction markets combined with adverse federal rulings, or 2027 guidance that walks back the ≥30% long-term margin framework.

Analyst certification & disclosures: This report is an independent research-style analysis prepared for informational purposes only. It is not investment advice, a recommendation to buy/sell any security, or an offer to transact. Financial figures are sourced from DraftKings' SEC filings (10-K FY2025, 10-Qs), earnings releases and calls, and reputable financial press; projections and the \$36.00 price target are the author's estimates and involve uncertainty. Past performance does not predict future results. Investors should conduct their own due diligence and consult a licensed advisor.

Sources: DraftKings 10-K FY2025 (SEC EDGAR); Q4'25, Q1'26, Q2'26 earnings releases & call transcripts; March 2026 Investor Day materials; SportsBusiness Journal (5/29/26); Flutter H1'26 results; MarketBeat/consensus data; FintHub market data. Dated September 19, 2026.